

Using a Financial Planner

You may want to see a financial planner to help you chart a course for the future, or you may want to consult with a planner at a big turning point in your life. If you use a financial planner to help you choose investments, be aware that using expert advice is not a guarantee that your investments will make money. If you have the time and interest to do your own research and educate yourself, you probably don't need a financial planner for choosing investments, unless you have a complex situation. Consider developing your own written financial plans, but meet every few years with a financial planner to make sure there are no glaring issues or gaps in the course you've charted for yourself.

If you use a professional, educate yourself about the recommended investments and be involved in the buying and selling decisions she executes on your behalf. Many financial planners earn commissions from the companies they deal with, so they may not be entirely objective when making recommendations. You can avoid this problem by choosing a fee-only planner who is paid by the hour and doesn't benefit from recommending one investment over another.

To locate a fee-only financial planner near you, use an online search form provided by the National Association of Personal Financial Advisors (NAPFA) at www.napfa.org. There you can also learn what you need to know before hiring a financial planner, including interview questions, an overview of the industry, and how to compare planners.